

ixigo**Le Travenues Technology Ltd**

NSE: IXIGO | BSE: 544192 | ISIN INE0HV901016

An excellent business at a price that requires heroic assumptions. That is why I am cautious here.

Raghav | May 2026
Price (May 2026)*

Market cap

52-week high / low

Shares outstanding

Free float

FY26 EPS

FY28E EPS

Net cash (Mar-26)

FII / DII holding

₹ 192

₹ 8,465 Cr

₹ 339 / 151

44.10 Cr

100%

₹ 1.75

₹ 4.17

₹ 930 Cr

64.2% / 10.1%

*Reference price and market capitalisation as reported in May 2026; reference price as at the date of this note.

1. INVESTMENT SUMMARY

Le Travenues Technology, which trades and operates as ixigo, is India's second-largest consumer online travel agency and the clear leader in rail. Through three apps — ixigo, ConfirmTkt and AbhiBus — it sold ₹18,693 Cr of travel in FY26 across trains, flights and buses, converting that into ₹1,228 Cr of net revenue, ₹121 Cr of adjusted EBITDA and ₹196 Cr of operating cash flow.

I think the business is genuinely very good. It owns a defensible position in the one travel vertical nobody else wanted — rail — and uses it as a near-zero-cost customer acquisition engine for the two verticals that actually pay, flights and buses, which grew revenue 54% and 51% respectively in FY26. Ninety-four per cent of its users come from tier-2 cities and smaller, the fastest-growing and least contested part of the Indian travel market. It converts profits into cash at 2.7x, carries no debt, and sits on roughly ₹930 Cr of net cash.

I also think it is materially overpriced. At ₹192 the stock trades at 117x trailing earnings and, stripping out treasury income, roughly 60x my FY28 core EPS estimate two years out. My discounted cash flow, run at a 14.5% WACC and 6.0% terminal growth, values the equity at ₹91 per share. The gap is not a rounding error and I have not tuned assumptions to close it. Reverse-engineering the current price requires a 26.8% ten-year revenue CAGR, or a 38% terminal EBITDA margin, or a 9.8% discount rate — each of which I regard as outside the plausible range for a business whose contribution margin fell 540 basis points last year.

I think fair value is around ₹145, a 24% implied downside from here. I would revisit constructively in the ₹120–130 range, or sooner if contribution margin stabilises above 40% while revenue growth holds above 20%.

What matters, in five lines

- **Rail is the moat, not the business.** A 62% share of the OTA train market gives ixigo the highest-frequency travel customer in India at almost no acquisition cost. Trains are 44% of revenue but only ~16% of growth; their job is to feed the other two verticals.
- **The monetisation engine is working.** Group take rate rose from 6.11% to 6.57% of GTV in FY26, and flights became the largest vertical by GTV in Q4 FY26 at ₹2,018 Cr.
- **But the gross spread is under pressure.** Contribution margin grew 18% against 34% revenue growth — a fall from 44.0% to 38.6% of revenue. All future operating leverage therefore has to come from fixed-cost absorption, which is a harder and slower lever.
- **The balance sheet is a genuine asset and a genuine risk.** The ₹1,296 Cr preferential issue at ₹280 per share funds optionality, but it has already been partly spent on Spain (Trenes), hourly hotel stays (Brevistay) and two seed-stage AI companies. Capital allocation is now a live variable in the thesis.

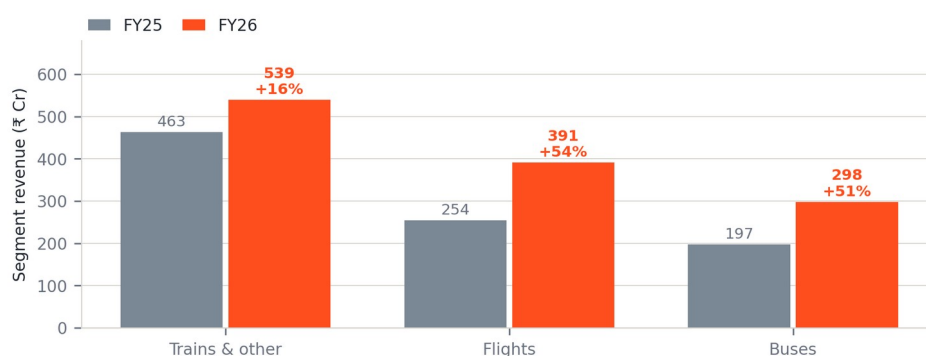
- **Nothing here is a criticism of the company.** It is a statement about price. My bull case — 17.4% revenue CAGR, 21.5% terminal margin, 13.5% WACC and full credit for treasury — still values the equity at ₹169, below the current price.

2. WHAT THE COMPANY ACTUALLY DOES

ixigo is an aggregator, not a principal. It does not own aircraft, coaches or rooms. It sells third-party travel inventory to consumers and keeps a slice of the ticket value — the take rate — plus ancillary revenue from insurance, seat selection, assurance products and, increasingly, its own post-booking services. Gross transaction value (GTV) is the value of tickets sold; revenue from operations is what ixigo keeps.

It runs a deliberately multi-brand architecture rather than a single super-app, and this is more strategically important than it first appears. ixigo is the flagship travel-planning and flights app. ConfirmTkt is a specialist rail app built around waitlist-confirmation prediction — an acutely specific pain point for Indian rail travellers. AbhiBus is the bus platform, and is as much a supplier-side software business as a consumer one, serving over 6,200 operators across some six lakh routes. Three brands let the group own three different intent moments without cannibalising a single brand's positioning, and it lets AbhiBus be white-labelled: since 2026, Uber India users book intercity buses inside the Uber app, powered end-to-end by AbhiBus.

Exhibit 1: Flights and buses grew >50%; trains, still the largest line, grew 16%



Source: Company filings and earnings releases, my own analysis. Trains & other derived as group revenue less disclosed flight and bus revenue. Data as of May 2026.

The revenue mix tells the story of a business in transition. Trains and other services were still 44% of FY26 revenue, but flights at ₹391 Cr and buses at ₹298 Cr contributed almost all of the incremental growth. Management has said flights overtook trains as the largest vertical by GTV in the March quarter. The hotels business exists — an extranet, HELLO, is live and onboarding supply directly — but the company has explicitly declined to report it separately until it reaches product-market fit and scale, which I read as an honest signal that it is not yet material.

Ownership and management

There is no identifiable promoter. The company formally confirmed to the exchanges in April 2026 that Regulation 31(4) promoter-encumbrance disclosure does not apply to it because it has no promoter under SEBI's definition. Foreign institutions held 64.2% and domestic institutions 10.1% at March 2026, with the public at 25.7%. Founders Alope Bajpai (Group CEO and Chairman) and Rajnish Kumar (Group Co-CEO) have run the business since 2007 and remain in place; group CFO is Saurabh Devendra Singh.

This is worth thinking about carefully rather than filing as a governance box-tick. A 100% institutional float with no anchoring promoter means the register turns over quickly on sentiment — the stock is roughly four times as volatile as the Nifty and has already fallen 43% from its 52-week high. It also, in principle, leaves the company acquirable. Neither is a reason to own or avoid the stock, but both belong in position sizing.

3. WHY THE SECTOR LOOKS STRUCTURALLY GOOD

The sector case for Indian online travel is one of the more durable structural stories in the domestic consumer internet, and it rests on three separate engines rather than one.

Engine one: the market itself is compounding

India's online travel market is estimated at roughly US\$25.4bn in 2026, up from US\$23.3bn in 2025, and is forecast to reach US\$38.6bn by 2031 — a compound growth rate of about 8.7% (Mordor Intelligence). That is a respectable but not spectacular headline number, and on its own it would not support the multiples in this sector.

Engine two: online penetration is still migrating

The more interesting number is the shift from offline to online. Industry estimates put current online penetration of Indian travel bookings at 66–68%, moving towards 73–75% by FY27. Platforms therefore grow at the market rate plus the penetration shift plus their own share gains — which is precisely how ixigo delivered 34% revenue growth against a market growing high single digits. Bus travel is the least penetrated large category and, not coincidentally, ixigo's fastest-growing one. Roughly two-thirds of bus bookings originate outside metros.

Engine three: physical capacity is being built

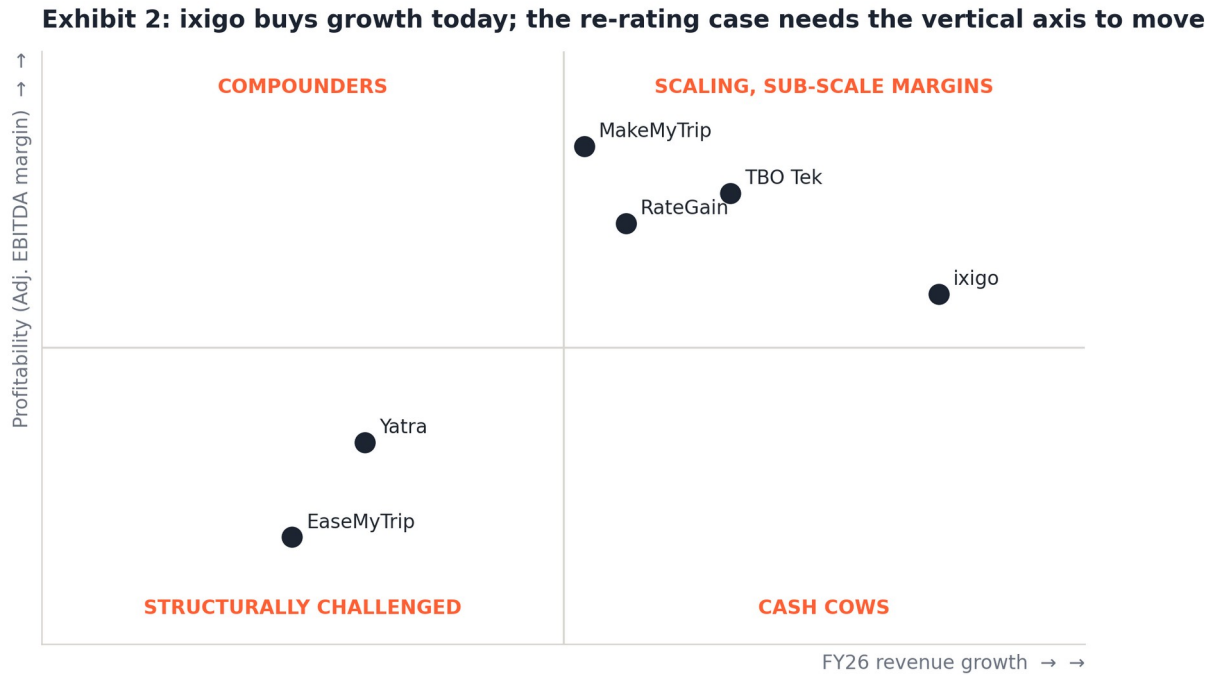
India is the third-largest domestic aviation market in the world and IATA expects it to be the third-largest overall by 2030. The airport network has grown from 74 in 2014 to 163 as of October 2025, and the domestic fleet is projected to reach 1,100 aircraft by 2027. Every new regional airport converts a bus or train traveller into a potential flight customer — and ixigo already owns that traveller.

The honest counterpoint

I would not want a client to read the above without the following. Indian domestic passenger traffic grew only 1.9% year-on-year over April–January of FY26, to 281.8 million; international grew 7.2% to 68.7 million. That is a weak year, and it is the reason ixigo's Q4 FY26 revenue growth decelerated to 8%. The structural story is intact; the cyclical year was poor. Investors paying 117x trailing earnings are underwriting the structural story and ignoring the cyclical one, and the two do not always arrive on schedule. The sector is good. That is a separate question from whether any given stock in it is cheap.

Where ixigo sits in the competitive field

MakeMyTrip remains the category leader with over 60% of the overall Indian OTA market and US\$10.4bn of FY26 gross bookings, and it is meaningfully more profitable. TBO Tek and RateGain compete elsewhere in the value chain — B2B distribution and supply-side SaaS respectively — and both are profitable at scale. EaseMyTrip has lost the plot commercially, posting an FY26 loss. IRCTC is a regulated monopoly on rail e-ticketing infrastructure and is ixigo's single most important counterparty, not a straight competitor.



Source: Company filings; my own analysis qualitative scoring on a 0-10 scale. Data as of May 2026.

The implication for the stock is specific. ixigo currently occupies the top-left — the fastest grower in the peer set and the least profitable of the credible operators. Every listed comparable that has re-rated durably did so by moving right, not up. That is the transition my forecasts model and my valuation prices.

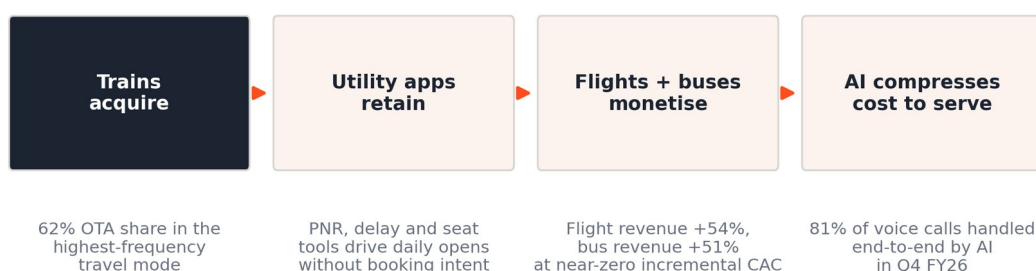
4. THE MOAT — WHAT IS ACTUALLY DEFENSIBLE HERE

Aggregators are notoriously moat-poor. The inventory is identical, the customer is price-sensitive, and the supplier would rather sell direct. Most OTAs are, in truth, marketing arbitrage businesses. I think ixigo has four things that are not, and one that is frequently mistaken for a moat but is not.

4.1 A cheaper customer, acquired upstream

This is the central insight and it is worth stating plainly. ixigo does not win flight customers by outbidding MakeMyTrip on Google. It manufactures them. An Indian who flies twice a year takes the train or the bus twenty times. By owning 62% of the OTA train market and a large share of bus bookings, ixigo acquires a customer in a high-frequency, low-value transaction and then sells that customer a flight later, at a customer acquisition cost that its flight-first competitors structurally cannot match. Flight revenue growing 54% while the domestic aviation market grew 1.9% is not a marketing outcome; it is a funnel outcome.

Exhibit 3: The cross-sell flywheel — why ixigo's customer acquisition cost is structurally lower



Source: Company disclosures, my own analysis. Data as of May 2026.

4.2 A utility layer that creates habit without a transaction

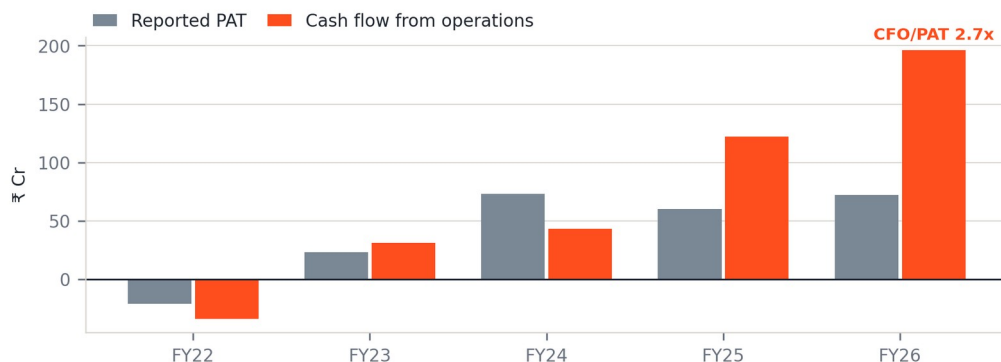
PNR status, waitlist-confirmation probability, train running status and delay prediction, live bus tracking, seat availability alerts — these are free tools that generate daily app opens from users with no immediate booking intent. That matters twice over. It keeps ixigo present at the moment intent forms, and it generates a proprietary longitudinal dataset on Indian rail behaviour that a competitor cannot buy. ConfirmTkt's confirmation-probability model is the clearest example: it is only as good as its history, and the history is not for sale. Reported annual active users were roughly 57 crore in FY26.

4.3 Supply-side integration in buses

AbhiBus is the least appreciated asset in the group. Its relationships are with more than 6,200 bus operators, many of whom depend on it for inventory management and seat mapping, not merely for demand. That is a two-sided position, and switching costs sit with the operator, not the consumer. The proof point is the Uber partnership: Uber chose to plug AbhiBus into its own app rather than build. A consumer OTA whose infrastructure a competitor is willing to license has something more than a storefront.

4.4 Artificial intelligence as a cost moat, not a marketing line

Every travel company now claims to be AI-native and most of it is noise. The number that is not noise is this: AI handled 4.35 million customer queries in Q4 FY26 and more than 81% of all voice calls end-to-end. In a business where customer support is one of the largest variable costs after marketing, automating the support function is where operating leverage actually lives. The ixigo NEXT rebuild, with the TARA assistant and Trip Mode, is the consumer-facing half of the same programme. I treat the cost half as credible and the revenue half as unproven.

Exhibit 4: Accounting profit understates the business — FY26 cash conversion was 2.7x PAT

Source: Company filings and earnings releases, my own analysis. Data as of May 2026.

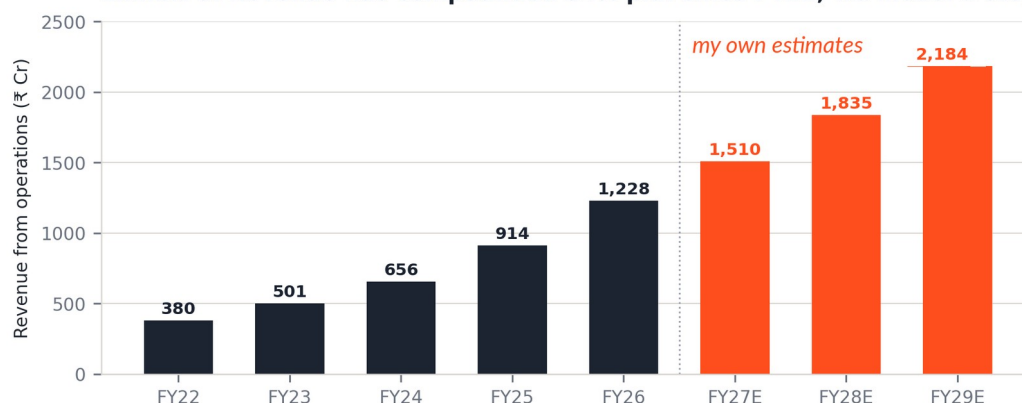
One structural consequence deserves emphasis. The operating business consumes almost no capital: FY26 capital expenditure was roughly ₹21 Cr on ₹1,228 Cr of revenue. The reported FY26 return on equity of 5.5% is therefore an artefact of ₹1,296 Cr of freshly raised equity sitting in deposits, not evidence of a low-return business. Judged on the capital the operations actually use, returns are high. Judged on the capital shareholders have actually supplied, they are not — which is exactly why capital allocation now matters so much.

4.5 What is not a moat

Three things get miscounted. First, brand: ixigo's brand is strong but Indian travel consumers are demonstrably promiscuous and price-led. Second, the flights business: airline inventory is a commodity and IndiGo's direct channel, not MakeMyTrip, is the real long-run competitor. Third, the rail position: it rests on IRCTC's authorised-partner framework, which is a regulatory permission rather than a property right. A change in IRCTC's convenience-fee or partner economics could reprice 44% of revenue without ixigo doing anything wrong — and in Q4 FY26, policy changes and supply constraints already pushed booked train segments down 8% and train GTV down 5% year-on-year.

5. FINANCIAL SUMMARY AND FORECASTS

Exhibit 5: Revenue has compounded 34% p.a. since FY22; we model a step-down to 21%



Source: Company filings and earnings releases, my own analysis. FY27E-FY29E are my own estimates. Data as of May 2026.

My forecasts assume revenue growth decelerates from 34% in FY26 to 23% in FY27E and 19% by FY29E, reflecting a normalising aviation cycle, a maturing train base and the arithmetic of scale. I assume the take rate edges up as ancillary attachment improves, and that adjusted EBITDA margin expands from 9.8% to 14.0% by FY29E — driven by fixed-cost absorption and AI-led support automation, not by gross spread.

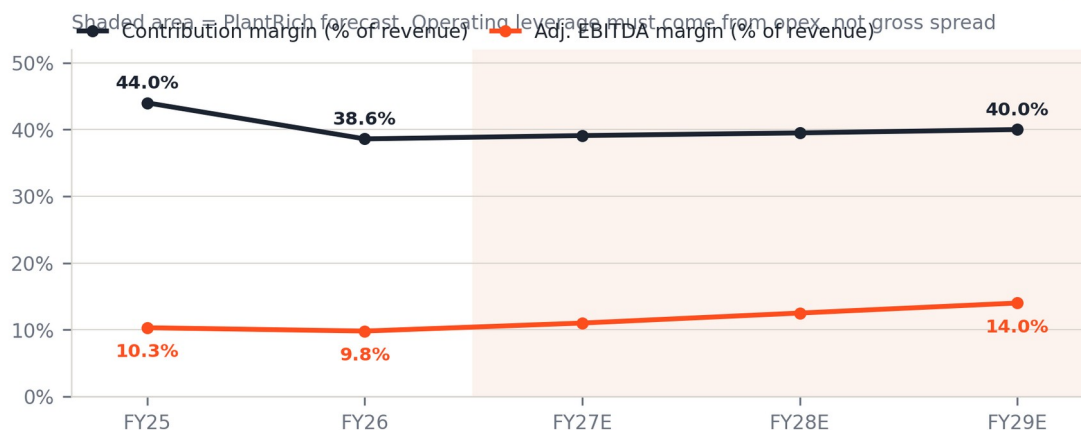
Exhibit 6: Consolidated financial summary (₹ Cr unless stated)

₹ Cr unless stated	FY24A	FY25A	FY26A	FY27E	FY28E	FY29E
Gross transaction value	n.a.	14,954	18,693	22,805	27,480	32,564
GTV growth (%)	n.a.	n.a.	25.0	22.0	20.5	18.5
Revenue from operations	656	914	1,228	1,510	1,835	2,184
Revenue growth (%)	31.0	39.4	34.3	23.0	21.5	19.0
Take rate (% of GTV)	n.a.	6.11	6.57	6.62	6.68	6.71
Contribution margin	n.a.	402	474	590	725	874
Contribution margin (%)	n.a.	44.0	38.6	39.1	39.5	40.0
Adjusted EBITDA	n.a.	95	121	166	229	306
Adj. EBITDA margin (%)	n.a.	10.3	9.8	11.0	12.5	14.0
ESOP charge	n.a.	n.a.	(46)	(38)	(40)	(42)
Other (treasury) income	39	23	45	85	80	75
Reported PAT	73	60	72	147	184	231
EPS (₹)	2.03	1.54	1.75	3.33	4.17	5.25
Core EPS, ex-treasury (₹)	n.a.	n.a.	1.02	1.88	2.83	4.00
Cash flow from operations	43	122	196	n.a.	n.a.	n.a.
Return on equity (%)	16.4	11.1	5.3	6.9	7.9	9.1
Net cash	71	252	930	n.a.	n.a.	n.a.
P/E on reported EPS (x)	n.m.	n.m.	110	58	46	37
Core P/E, ex-net-cash (x)	n.m.	n.m.	168	91	60	43

Source: Company filings and earnings releases; screener.in and S&P Global Market Intelligence for balance-sheet items; FY27E–FY29E are my own estimates. FY25 GTV and contribution margin derived from the company's disclosed year-on-year growth rates. Multiples computed on the ₹192 reference price.

The one chart that decides the thesis

Exhibit 7: The whole thesis in one chart — contribution margin fell 540bps in FY26



Source: Company filings and earnings releases, my own analysis, my own estimates. Data as of May 2026.

Contribution margin is revenue less the directly variable costs of delivering a booking — principally customer discounts, payment charges and distribution. It fell from 44.0% of revenue to 38.6% in FY26 even as revenue grew 34%. In plain terms, a meaningful share of last year's growth was bought. That is defensible while share is being taken in flights and buses, and management would argue it is exactly the right trade. But it changes what the equity story has to be: operating leverage can no longer come from the gross spread, so it must come from holding fixed costs flat against a growing revenue base. My margin path assumes they succeed. If contribution margin instead settles near 37%, my FY29E adjusted EBITDA falls by roughly a fifth and my fair value falls with it.

A second accounting point that regularly confuses screens. FY26 reported operating profit fell to ₹62 Cr from ₹72 Cr, which looks like deterioration. It is not. A one-off employee stock option charge of ₹27 Cr landed in Q2 FY26, taking the full-year ESOP charge to roughly ₹46 Cr and producing a reported quarterly loss of ₹3 Cr. Adjusted EBITDA, which the company defines as EBITDA plus ESOP expense less other income, grew 28%. I use the adjusted figure as the operating series and deduct ESOP separately in the valuation, because it is a real cost to shareholders even when it is not a cash cost.

6. VALUATION

I triangulate three ways: a ten-year discounted cash flow to the firm, which I weight at 40%; a core price-to-earnings multiple applied to FY28E earnings excluding treasury income, at 30%; and an enterprise-value-to-adjusted-EBITDA multiple on FY28E, at 30%. I deliberately give the DCF less than half the weight because ixigo has traded for barely two years and its terminal economics are genuinely uncertain; I give it no less than 40% because a price that cannot be reconciled to any discounted cash flow is a price that depends entirely on the next buyer.

6.1 Cost of capital

Exhibit 8: Cost of capital build

WACC build	Input	Basis
Risk-free rate	6.50%	10-year Government of India security — my own assumption, refresh at each model run
India equity risk premium	6.50%	House standing assumption for Indian small and mid caps
Levered beta	1.25	House estimate; regression unreliable on <2 years of listed history. Stock volatility is c.4.4x Nifty
Cost of equity	14.63%	Capital asset pricing model
Pre-tax cost of debt	8.50%	Indicative; borrowings are ₹44 Cr and immaterial
Tax rate	25.17%	Indian statutory rate including surcharge and cess
Target debt / (debt + equity)	2.0%	Company is effectively debt-free
Weighted average cost of capital	14.5%	Rounded; used throughout

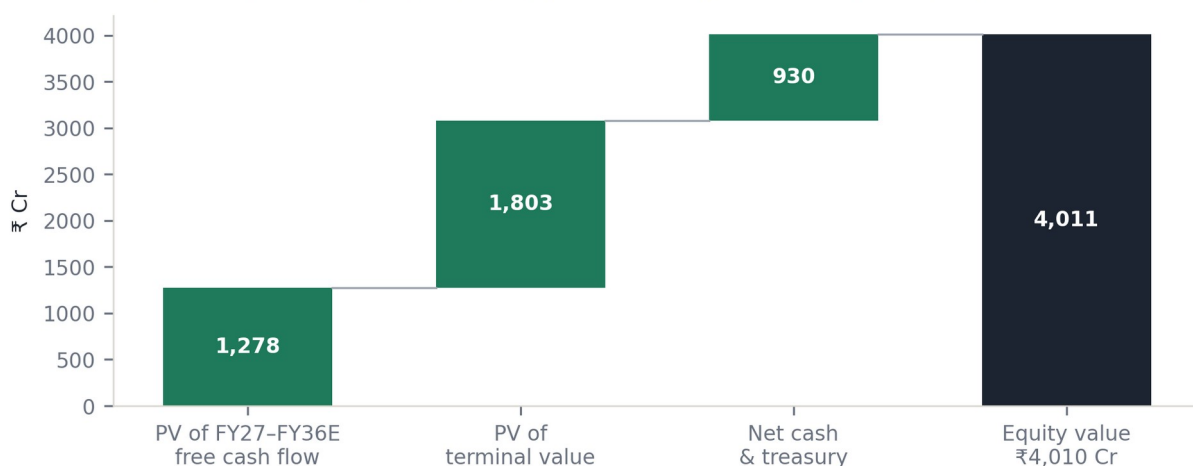
Source: my own analysis. Inputs are my own assumptions stated for audit, not observed market data, except the debt balance which is from the FY26 balance sheet.

6.2 Free cash flow to the firm

Exhibit 9: Free cash flow to the firm, FY27E–FY36E (₹ Cr)

₹ Cr	FY27E	FY28E	FY29E	FY30E	FY31E	FY36E
Revenue	1,510	1,835	2,184	2,555	2,938	4,794
Revenue growth (%)	23.0	21.5	19.0	17.0	15.0	8.0
Adjusted EBITDA	166	229	306	383	470	863
Adj. EBITDA margin (%)	11.0	12.5	14.0	15.0	16.0	18.0
Less: ESOP charge	(38)	(40)	(42)	(43)	(44)	(48)
Less: depreciation & amortisation	(22)	(27)	(32)	(37)	(41)	(62)
EBIT	107	162	232	303	385	753
Less: tax at 25.17%	(27)	(41)	(59)	(76)	(97)	(189)
NOPAT	80	121	174	227	288	563
Add: depreciation & amortisation	22	27	32	37	41	62
Less: capital expenditure	(30)	(37)	(44)	(51)	(59)	(96)
Less: change in working capital	(6)	(6)	(7)	(7)	(8)	(7)
Free cash flow to the firm	66	105	155	205	263	523

Source: my own estimates. FY32E–FY35E are modelled but omitted here for space; revenue growth tapers from 13.0% to 9.0% and adjusted EBITDA margin from 16.5% to 18.0%. Mid-year discounting convention applied.

Exhibit 10: DCF bridge — ₹4,010 Cr of equity value, or ₹91 per share

Source: my own estimates. Data as of May 2026.

The terminal value contributes 58.5% of enterprise value, which is comfortably within the range I regard as acceptable and materially below the 80% threshold at which I would flag a DCF as unreliable. Cross-checking the terminal in the other direction, a 6.0% perpetuity growth rate at a 14.5% WACC implies an exit multiple of 11.8x free cash flow and 7.6x FY36E adjusted EBITDA — both conservative for a platform business, which tells me the DCF result is being driven by the explicit-period cash flows rather than by a punitive terminal assumption.

6.3 Sensitivity

Exhibit 11: Value per share (₹) — WACC against terminal growth. Base case shaded

WACC \ terminal growth	5.0%	5.5%	6.0%	6.5%	7.0%
12.5%	107	111	116	122	128
13.5%	96	99	102	106	110
14.5%	86	88	91	94	97
15.5%	79	81	82	84	87
16.5%	73	74	75	77	79

Source: my own estimates. The entire grid sits below the ₹192 reference price; no combination of defensible discount rate and terminal growth reconciles the DCF to the market.

6.4 Scenarios

Exhibit 12: Scenario analysis and probability weighting

Scenario	What differs	Value/share	Weight
Bear	Revenue CAGR 9.3%; train policy tightens and flight take rate compresses; terminal margin 13.2%; WACC 15.5%	₹ 48	25%
Base	Revenue CAGR 14.6%; margin path to 18.0%; WACC 14.5%; terminal growth 6.0%	₹ 91	50%
Bull	Revenue CAGR 17.4%; hotels reaches scale and AI compresses cost to serve; terminal margin 21.5%; WACC 13.5%; full ₹1,700 Cr treasury credited	₹ 169	25%
Probability-weighted	—	₹ 100	100%

Source: my own estimates. Scenarios are narratives with numbers, not uniform percentage shifts.

6.5 Peer comparison

Exhibit 13: Listed travel-technology comparables

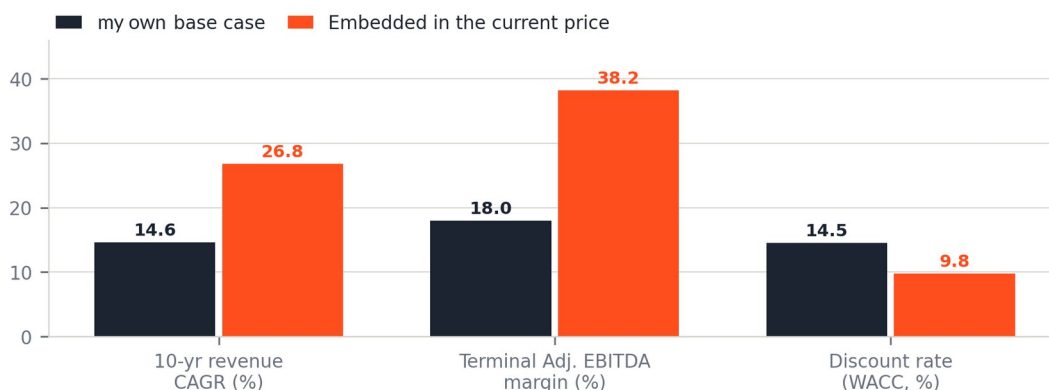
Company	Mkt cap (₹ Cr)	FY26 revenue	FY26 PAT	P/E (x)	P/Sales (x)
Le Travenues (ixigo)	8,465	1,228	72	117	6.9
MakeMyTrip (Nasdaq)	47,256	9,152	426	111	5.2
TBO Tek	16,521	n.a.	n.a.	56	n.a.

Company	Mkt cap (₹ Cr)	FY26 revenue	FY26 PAT	P/E (x)	P/Sales (x)
RateGain Travel Technologies	10,891	1,824	194	56	6.0
Easy Trip Planners	2,630	536	(48)	n.m.	4.9
IRCTC	39,456	n.a.	n.a.	n.a.	n.a.
Median, excluding ixigo	—	—	—	56	5.2

Source: screener.in, stockanalysis.com and company disclosures; market data as reported between 6 and May 2026 and therefore not perfectly contemporaneous. MakeMyTrip converted at ₹88 per US dollar. ixigo trades at roughly twice the peer median on both earnings and sales.

6.6 Reverse discounted cash flow — what ₹192 requires

Exhibit 14: Reverse DCF — each bar is what ₹192 requires, holding the other two at base



Source: my own estimates. Data as of May 2026.

This is the most useful exhibit in the note. Holding everything else at my base case, the current price is internally consistent only if one of the following is true. Revenue compounds at 26.8% for ten straight years, taking FY36 revenue to roughly ₹13,000 Cr against my ₹4,794 Cr — which would make ixigo larger than MakeMyTrip is today. Or terminal adjusted EBITDA margin reaches 38.2%, above what Booking Holdings earns on a far higher-take-rate hotel mix and more than double MakeMyTrip's current level. Or investors are willing to accept a 9.8% return on an unlevered small-cap equity that moves at four times the volatility of the index.

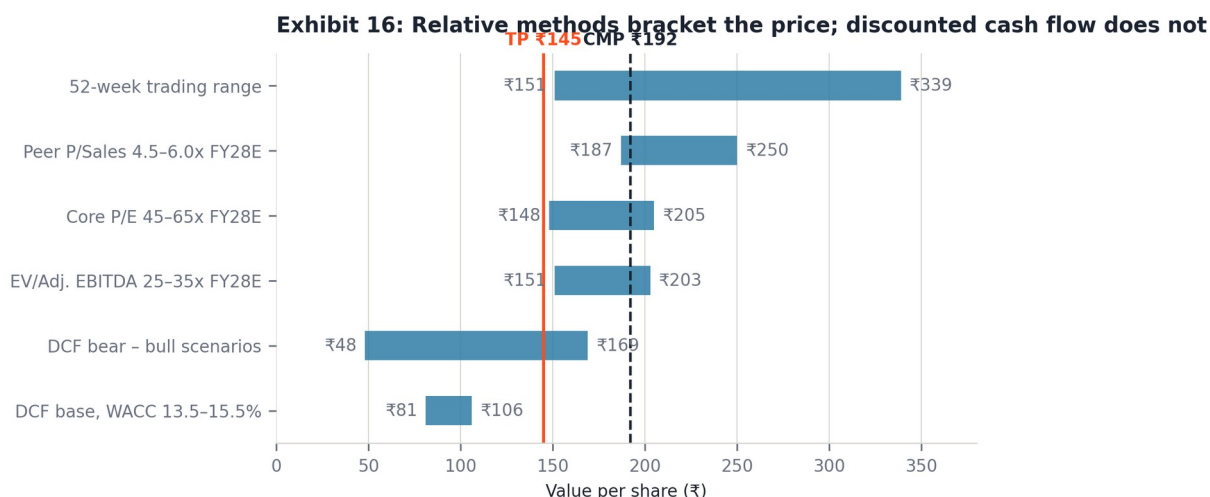
I do not think any of the three is defensible, and I do not think a combination that reaches the same place is either. This is what I mean when I say the price requires heroic assumptions rather than optimistic ones.

6.7 My fair value

Exhibit 15: My fair value build

Method	Derivation	Value/share	Weight	Contribution
Discounted cash flow	Probability-weighted across bear, base and bull	₹ 100	40%	₹ 40
Core P/E	55x FY28E core EPS of ₹2.83, plus ₹21 net cash per share	₹ 177	30%	₹ 53
EV / Adj. EBITDA	30x FY28E adjusted EBITDA of ₹229 Cr, plus net cash	₹ 177	30%	₹ 53
My fair value (rounded)	—	₹ 145	100%	₹ 145

Source: my own analysis. Both relative anchors are deliberately generous: 55x forward core earnings and 30x forward adjusted EBITDA are above the peer median of 56x trailing earnings and MakeMyTrip's 33.6x trailing EV/EBITDA on a two-years-forward basis. Even so, the relative methods land 8% below the current price.



Source: my own estimates; peer market data as noted in Exhibit 13. Data as of May 2026.

One asymmetry deserves flagging in the company's favour. My net cash figure of ₹930 Cr is the conservative reading, covering cash and short-term investments less total debt. A further ₹766 Cr sits within other long-term assets on the FY26 balance sheet, a line that jumped from ₹16 Cr and which I think is very largely bank deposits with maturities beyond twelve months — the parked proceeds of the ₹1,296 Cr preferential issue. If the annual report confirms that reading, net treasury is closer to ₹1,700 Cr and adds roughly ₹17 per share to every valuation in this note, lifting my fair value to about ₹162. That would narrow the gap. It would not close it.

7. RISKS TO MY VIEW

Because my view is negative, the risks that matter most are the ones that would make me wrong — and I list those first.

- **Contribution margin stabilises and operating leverage arrives faster than I model.** This is the single most likely way I am wrong. If FY27 contribution margin holds above 40% while revenue grows above 20%, my FY29E adjusted EBITDA is too low by a wide margin and the stock is not expensive. I would upgrade on two consecutive quarters of that combination.
- **Hotels works.** I ascribe essentially no value to hotels. It is the highest-take-rate category in travel, ixigo already owns the customer, and the Brevistay acquisition plus the HELLO extranet give it supply. If hotels reaches scale, my terminal margin assumption of 18% is too conservative and the bull case becomes the base case.
- **The multiple simply persists.** Indian consumer-internet equities have sustained multiples disconnected from discounted cash flow for years at a time. A negative view that is analytically right can be painful to hold for a long period, and this is a momentum-sensitive register with 64% foreign institutional ownership.

Risks in the other direction — those that would make the stock worse than I forecast — are as follows, ordered by materiality.

- **Rail policy and IRCTC dependency.** The largest revenue line depends on a regulatory permission, not a contract right. Q4 FY26 already showed booked train segments down 8% and train GTV down 5% on policy changes and supply constraints. A change to convenience-fee sharing or partner economics could reprice 44% of revenue overnight.
- **Airline disintermediation.** IndiGo commands the majority of Indian domestic capacity and has every incentive to push direct booking. Flight take rates are the most vulnerable line in the model, and flights are now the largest vertical by GTV.
- **Capital allocation.** Roughly ₹1,700 Cr of treasury is a large number against an ₹8,465 Cr market capitalisation. The company has already deployed into a Spanish rail booking platform (Trenes, 60% for ₹115 Cr), a majority stake in an hourly-hotel platform with ₹18 Cr of FY26 turnover (Brevistay, 54.66% for ₹66 Cr) and two pre-revenue AI companies (₹12 Cr). None is individually large; the pattern is the risk.
- **Dilution.** The FY26 ESOP charge was roughly ₹46 Cr, or 64% of reported profit after tax, and the board allotted a further 2.38 million shares under employee schemes in July 2026. Options are a recurring transfer of value that reported EPS understates.

- **Macro and geopolitical fragility.** FY26 alone contained airspace closures following Operation Sindoor, a Middle East conflict that suppressed international demand, and a Maha Kumbh base effect. Travel demand is the first discretionary line to move.

8. CONCLUSION

I want to be precise about what this note says, because the conclusion invites misreading. ixigo is one of the better consumer internet franchises listed in India. Its rail position is genuinely defensible, its cross-sell economics are structurally superior to those of any flight-first competitor, its cash conversion is excellent, its balance sheet is unencumbered, and it operates in a sector with three independent growth engines. If someone asked me to name the five Indian consumer platforms most likely to be materially larger in 2035, ixigo would be on the list.

None of that is an argument about price, and price is what actually determines the return. At ₹192 the market is paying 117 times last year's earnings and roughly twice what my discounted cash flow supports, for a company whose contribution margin fell 540 basis points last year and whose largest revenue line sits at the mercy of a regulator. My bull case does not clear the current price. My base case is half of it.

My fair value is ₹145. I would turn constructive around ₹120–130, or earlier on evidence that contribution margin has stabilised above 40% with revenue growth intact. Good business, wrong price — and in my experience the second half of that sentence is the one that determines returns over a three-year holding period.